

stocks are held by investors who don't trade at all, and the other half are held by speculators who trade solely with one another. By definition, the investors as a group will capture the gross return of the index; the speculators as a group will capture, because of their trading costs, only the (lower) net return. The obvious conclusion: *investors win; speculators lose*. There is no way around it. So the orgy of speculation we are witnessing today ill serves our market participants. It serves only Wall Street.

Black Swans and Market Returns

When the perception—interim stock prices—vastly departs from the reality—intrinsic corporate values—the gap can be reconciled *only* in favor of reality. It is simply impossible to raise reality to perception in any short time frame; the tough and demanding task of building corporate value in a competitive world is a long-term proposition. Still, whenever stock prices lose touch with corporate values and bubbles begin to form, too many market participants seem to anticipate that values will soon rise to justify prices, instead of the other way around.

That's what a speculative mind-set does to investors. It encourages them to ignore the inevitable even as they discount the probability of the improbable. And then along comes a trading day like October 19, 1987, and the eternal verities of the *real* market once again reassert themselves. On that single day, which came to be known as Black Monday, the Dow Jones Industrial Average dropped from 2,246 to 1,738, an astonishing one-day decline of 508 points or almost 25 percent. There had never been such a precipitous decline. Indeed, the drop was nearly twice the largest previous daily decline of 13 percent, which took place on October 24, 1929 (Black Thursday), a distant early warning that the Great Depression lay ahead.

From its earlier high until the stock market at last closed on that fateful Black Monday of 1987, some \$1 trillion had been erased from the total value of U.S. stocks. The stunning decline seemed to shock